PRODUCT WRITE-UP

PLAN NAME:	**Great Retirement Plan (A-GRP55)**
PLAN CODE:	**0294**
LAUNCH DATE:	**14 November 2012**

PLAN DESCRIPTIONS

1. This product is a traditional regular premium non-participating deferred annuity certain plan.

2. Guaranteed Income will be payable every year for 15 years, starting from the end of policy year of age 55 years next birthday.

3. Premium Payment Terms and Policy Term are offered as below:

Premium Payment Terms	Policy Term
10 years	Policy Term = Age 55 next birthday – Entry Age + 15 years
Up to the policy year of age 55 next birthday	

4. This product may qualify for annuity tax relief up to RM3,000 yearly for premium paid during year 2012 to 2021 for policies inforce **BEFORE** 01 July 2013, subject to the approval of the Inland Revenue Board.

5. In order to qualify for the annuity tax relief, the product needs to be designed in such a way where the annuity income must be paid on regular basis starting from the gazetted retirement age according to the annuity guideline. The gazetted retirement age has been increased from age 55 to 60 from 01 July 2013 onwards. Hence, all Great Retirement Plan (for retirement age 55) inforce from 01 July 2013 onwards are NOT eligible for annuity tax relief.

PLAN BENEFITS

1. Death Benefit / Total & Permanent Disability (TPD) / diagnosed with any of the 35 Covered Events

Upon Death / TPD (occurs prior to age 65 next birthday) / being diagnosed with any of the 35 Covered Events, the cash value of the policy will be payable in one lump sum.

Notes:

a) Upon death (due to all causes) / TPD / diagnosed with any of the 35 Covered Events, no claims investigation is required. However, submission and registration of death/ TPD/ Covered Events claim to Branch / Head Office with the minimum necessary supporting documents are required such as:
   - For Death Claim:
     - Completion of death claim form, and
     - Certified True Copy (CTC) of death certificate, and
     - CTC of claimant's Identification Card, and
     - CTC of proof of relationship between claimant and deceased
   - For TPD Claim:
     - Completion of TPD claim form, and
     - TPD medical certificate, and
     - CTC Employment Termination Letter, and
     - CTC of life assured's Identification Card
   - For Covered Events Claim:
     - Completion of living assurance claim form, and

- Confidential Medical Certificate (Cancer) / Confidential Medical Certificate (Stroke) / Confidential Medical Certificate (Heart Attack/Coronary Artery Bypass Surgery/Other Serious Coronary Artery Disease) / Confidential Medical Certificate (Other Illnesses), and
- Relevant diagnostic test results or reports for individual Covered Event, and
- CTC of life assured's Identification Card

b) TPD is covered before age 65 years next birthday.

c) The Covered Event Benefit will be payable based on the actual diagnosis date. If the actual diagnosis date is on or after the policy commencement date, the benefit is payable; if the claim is submitted based on the diagnosis date which is before the policy commencement date, then the claim will be rejected using exclusion clause and the policy shall remain in force if premium remittance continues; if there is a recurrence of the same Covered Event, the benefit is payable provided there is evidence to show that the Covered Event recurs during the policy in force period.

d) The list of 35 covered events is as follows:

1	Alzheimer's Disease / Irreversible Organic Degenerative Brain Disorders	19	HIV Due to Blood Transfusion
2	Bacterial Meningitis	20	Loss of Independent Existence
3	Benign Brain Tumor	21	Loss of Speech
4	Blindness / Total Loss Of Sight	22	Major Burns
5	Brain Surgery	23	Major Head Trauma
6	Cancer	24	Major Organ / Bone Marrow Transplant
7	Chronic Aplastic Anemia	25	Motor Neuron Disease
8	Coma	26	Multiple Sclerosis
9	Coronary Artery By - Pass Surgery	27	Muscular Dystrophy
10	Deafness / Total Loss of Hearing	28	Other Serious Coronary Artery Disease
11	Encephalitis	29	Paralysis / Paraplegia
12	End Stage Kidney Failure	30	Parkinson's Disease
13	End Stage Liver Failure	31	Primary Pulmonary Arterial Hypertension
14	End Stage Lung Disease	32	Severe Cardiomyopathy
15	Full Blown AIDS	33	Stroke
16	Fulminant Viral Hepatitis	34	Surgery to Aorta
17	Heart Attack	35	Systemic Lupus Erythematosus with Lupus Nephritis
18	Heart Valve Surgery		

Note: There is no waiting period for all covered events.

2. Guaranteed Income

a) The Guaranteed Income will be payable <u>every year</u> for 15 years, starting from the end of policy year of age 55 years next birthday.

Please refer to appendix 3 for illustrations of the Guaranteed Income benefit payout.

b) The calculation for Guaranteed Income: Refer to **appendix 1** for the Guaranteed Income Table.

3. Partial Surrender

a) <u>Voluntary Partial Surrender</u>
Not allowed.

b) <u>Automatic Partial Surrender</u>
Partial surrender will be exercised when there is any request in premium reduction. Please refer to the details of "Decrease Premium" under the section of "Premium" for further details.

4. Full Surrender

Allowed.

Only applicable for policies in-force BEFORE 01 July 2013:

Note: Upon full surrender before the payout period for Guaranteed Income, an 8% tax will be imposed on the total premiums eligible for tax relief. Such tax penalty will be deducted from the surrender value and be paid to the Inland Revenue Board by the Company. Please refer to the examples below:

Example 1:

Assumption:
Male, Non-smoker
Policy inforce date: 01 December 2012
Entry Age: 30 Next Birthday
Annual Premium: RM5,000
Premium Payment Term (PPT) = 10 years

If the policyholder surrenders the policy at year 10, say on 31 December 2022 (after premium payment term of 10 years),
Total premiums paid = RM50,000
Premiums eligible for tax relief = RM3,000 yearly from year 2012 to year 2021 = RM30,000
Assume that the Surrender Value (SV) = RM40,000

Upon full surrender, the policyholder will receive the net of SV
= SV – 8% tax on total premium eligible for tax relief
= SV – 8% x RM30,000
= RM40,000 – RM2,400
= RM37,600.00

Example 2:

Assumption:
Male, Non-smoker
Policy inforce date: 01 December 2012
Entry Age: 30 Next Birthday
Annual Premium: RM5,000
Premium Payment Term (PPT) = Up to the policy year of age 55 next birthday

If the policyholder surrenders the policy at year 15, say on 31 December 2026 (after paying premium for 15 years and before the payout period for Guaranteed Income),
Total premiums paid = RM80,000
Premium eligible for tax relief = RM3,000 yearly from year 2012 to year 2021 = RM30,000
Assume that the Surrender Value (SV)= RM75,000

Upon full surrender, the policyholder will receive the net of SV
= SV – 8% tax on total premium eligible for tax relief
= SV – 8% x RM30,000
= RM75,000 – RM2,400
= RM72,600

PREMIUM

1. Premium payment mode and modal factors

This is an annual premium plan but it can also be purchased with half-yearly, quarterly or monthly premium instalments.

In case where premium payments are made other than annual premium, the following factors are to be applied to the annual premium to arrive at the instalment premium:

Mode of premium payments	Factors
Half-yearly	0.5100
Quarterly	0.2575
Monthly	0.0875

2. Premium payment method

Cash, GIRO, Banker's Order, cheque and credit card are allowed for all modes of premium payments. However, cash and cheque are not allowed for monthly mode of payment.

3. Premium payment terms

a) The policyowner can choose to pay either 10 years or up to the policy year of age 55 years next birthday.
b) Please refer to **appendix 2** for the premium payment term by entry age for the option of paying up to the policy year of age 55 years next birthday.

4. Backdating

Allowed up to one year from the date of issue of the policy.

5. 1 set of premium rate

Not applicable as this is a premium-based product where the policyowner has to choose the preferable amount of premium to be paid.

6. Increase Premium

Not applicable

7. Decrease Premium

Policyowner can request to decrease the premium, subject to the following conditions:
a) Annual premium (**before** decreasing in premium) must be more than RM3,000
b) Revised annual premium (**after** decreasing in premium) must be at least RM3,000.

Upon decreasing in premium:
a) Partial surrender will be exercised and the policyowner will receive the surrender value which is calculated based on the amount reduced in annual premium; and
b) Guaranteed Income will then be revised and reduced accordingly

Example 1:

Annual Premium (before decreasing in premium) = RM2, 500

The policyowner is not allowed to decrease the annual premium as the annual premium is not more than RM3, 000

Example 2:

Annual Premium (before decreasing in premium) = RM3, 500

The maximum allowable amount to be reduced is RM500. Meaning to say, the revised annual premium will be RM3,000 if the policyowner requests to reduce the annual premium in accordance to the maximum allowable amount which is RM500. The Guaranteed Income will then be revised and reduced accordingly.

DISCOUNT

1. Large Sum Assured Discount / Non-smoker Discount / Female Discount
Not Applicable.

UNDERWRITING

1. Minimum/Maximum Annual Premium
Minimum: RM2, 000
Maximum: No limit
Note: For other premium mode (i.e. half-yearly, quarterly or monthly), the respective modal factors shall applied to the annual premium to arrive at the instalment premium

2. Basic Sum Assured
Not applicable, there is no minimum or maximum for Basic Sum Assured since this is a premium-based product.
Note: For system setting, the Sum Assured will be set as Annual Premium.

3. Min/Max Age at Entry
Minimum : 18 years next birthday
Maximum : 45 years next birthday

4. Policy Term
Age 55 next birthday – Entry Age + 15 years
Please refer to **appendix 2** for further details.

5. Underwriting Guidelines / Non-Medical Limits / Underwriting for Substandard Life
There will be no medical underwriting for this plan.
Financial underwriting will be applicable (due to Anti-Money Laundering (AML) guideline).
This plan is only applicable for Malaysian and Permanent Resident in Malaysia.

CHANGES IN SUM ASSURED

1. Increase Sum Assured
Not applicable.

2. Decrease Sum Assured
Not applicable.

OTHER PRODUCT FEATURES

1. Cash Surrender Values
Act minimum surrender values are acquired after the policy has been in force for one (1) full policy year.

2. Policy Loan
Not applicable

3. Automatic Premium Loan

After the policy has acquired surrender values, the policy shall not become void for non-payment of renewal premium within the 30 days grace period so long as the surrender values are sufficient to advance the premium due. An interest rate of 5% will be charged on this loan.

4. Extended Term Assurance
Not applicable

5. Paid-Up Assurance
After the policy has acquired surrender values, the policy may be converted to a non-participating Paid-Up Assurance. The sum assured on Paid-Up will be payable in the event of death of the Life Assured or at the end of the policy term.

All other benefits shall cease upon conversion to Paid-up Assurance.

6. Free-Look Period
Policyholder is allowed to cancel the policy within 15 days. Under such circumstance, total premium paid minus the expenses incurred for medical examination (if any) will be refunded and commissions will be clawed back accordingly.

7. Nomination / Assignment
Allowed

8. 3rd Party Policy
Not allowed

9. Reinstatement
Allowed, these policies may only be reinstated on full amount basis within 3 years from the lapsed date.

10. Special Revival / Study Loan
Not applicable

11. Replacement of Policies
Applicable

12. Conversion Privilege
Not applicable

13. Attachable Riders
Not allowed.

EXCLUSIONS

No payment of benefits will be payable for any of the following:
1. Covered Event that is diagnosed before the Risk Commencement Date or before the date of any reinstatement, whichever is later;
2. Total and Permanent Disability caused directly or indirectly, by self-inflicted injuries, while sane or insane;

3. Total and Permanent Disability caused by bodily sustained as a result of parachuting or sky diving or engaging in aerial flights other than as a crew member or as a fare-paying passenger of a licensed commercial airline operating on a regular scheduled route;
4. Total and Permanent Disability existed prior to or on the Risk Commencement Date or on the date of any reinstatement, whichever is later.

Note: The exclusion list may not be exhaustive. For full list of the exclusions, please refer to the policy contract.

Appendix 1: Guaranteed Income Table

a. Premium Payment Term (PPT) = 10 years

Entry Age Next Birthday	PPT	GI % per RM 1 Annual Premium
18	10	257.00%
19	10	248.00%
20	10	240.50%
21	10	232.00%
22	10	224.75%
23	10	217.50%
24	10	210.00%
25	10	203.25%
26	10	196.25%
27	10	190.00%
28	10	184.00%
29	10	177.75%
30	10	172.00%
31	10	166.25%
32	10	160.75%
33	10	155.50%
34	10	150.50%
35	10	145.50%
36	10	140.75%
37	10	136.00%
38	10	131.50%
39	10	127.25%
40	10	123.00%
41	10	117.75%
42	10	113.00%
43	10	108.40%
44	10	104.20%
45	10	100.20%

b. Premium Payment Term up to the policy year of age 55 years next birthday

Entry Age Next Birthday	PPT	GI % per RM 1 Annual Premium
18	38	650.50%
19	37	619.50%
20	36	592.00%
21	35	564.25%
22	34	537.25%
23	33	510.75%
24	32	485.75%
25	31	461.75%
26	30	438.25%
27	29	414.75%
28	28	393.25%
29	27	371.75%
30	26	351.50%
31	25	331.25%
32	24	312.25%
33	23	293.25%
34	22	275.75%
35	21	258.25%
36	20	241.25%
37	19	225.00%
38	18	209.25%
39	17	194.00%
40	16	179.25%
41	15	163.75%
42	14	148.75%
43	13	134.75%
44	12	121.35%
45	11	108.65%

Appendix 2: Policy Term and Maturity Age

a. Premium Payment Term = 10 years

Entry Age Next Birthday	Policy Term	Maturity Age
18	52	70
19	51	70
20	50	70
21	49	70
22	48	70
23	47	70
24	46	70
25	45	70
26	44	70
27	43	70
28	42	70
29	41	70
30	40	70
31	39	70
32	38	70
33	37	70
34	36	70
35	35	70
36	34	70
37	33	70
38	32	70
39	31	70
40	30	70
41	29	70
42	28	70
43	27	70
44	26	70
45	25	70

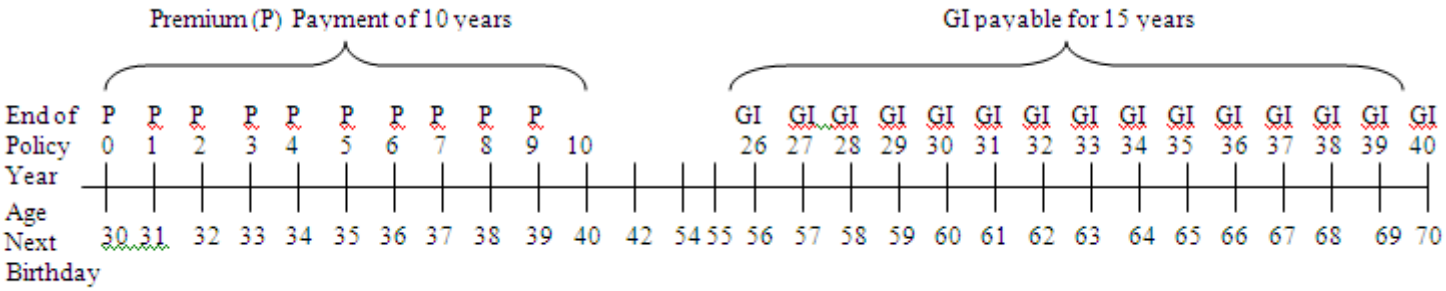
b. Premium Payment Term up to the policy year of age 55 years next birthday

Entry Age Next Birthday	Premium Payment Term	Policy Term	Maturity Age
18	38	52	70
19	37	51	70
20	36	50	70
21	35	49	70
22	34	48	70
23	33	47	70
24	32	46	70
25	31	45	70
26	30	44	70
27	29	43	70
28	28	42	70
29	27	41	70
30	26	40	70
31	25	39	70
32	24	38	70
33	23	37	70
34	22	36	70
35	21	35	70
36	20	34	70
37	19	33	70
38	18	32	70
39	17	31	70
40	16	30	70
41	15	29	70
42	14	28	70
43	13	27	70
44	12	26	70
45	11	25	70

Appendix 3: Guaranteed Income Benefit Payout

Premium Payment Term (PPT) of 10 years:

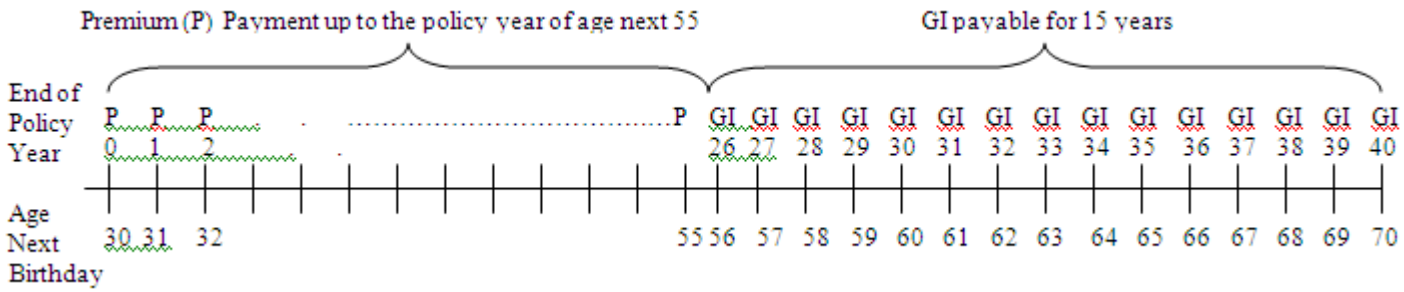
Example 1:
Entry Age: 30 Next Birthday
Guaranteed Income (GI): Payable starting from the end of policy year of age 55 next birthday for 15 years



Summary:
- Premium will be payable at the start of each year starting from age 30 next birthday for 10 years.
- GI will be payable annually starting from the end of policy year of age 55 next birthday for 15 years.
- Policy Term = Age 55 – Age 30 + 15 = 40 years
- Maturity Age: 70 next birthday

Premium Payment Term (PPT) up to the policy year of age 55 next birthday:

Example 1:
Entry Age: 30 Next Birthday
Guaranteed Income (GI): Payable from the end of PPT for 15 years



Summary:
- Premium will be payable at the start of each year starting from age 30 next birthday up to the policy year of age 55 next birthday.
- GI will be payable annually starting from the end of PPT for 15 years.
- Policy Term = Age 55 – Age 30 + 15 = 40 years
- Maturity Age: 70 next birthday